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1 message

Kishore Kulkarni <kulkarnk@msudenver.edu> Sat, Mar 7, 2026 at 9:33 AM
To: Patrick Knight <patrick.knight3717@gmail.com>

Please make a new link for "Kulkarni Hypothesis" and include the following information in it:

Economists use the term “Kulkarni hypothesis” mainly in international trade and exchange-rate research. It refers to the idea that repeated currency devaluations can lead to *persistent* trade deficits instead of improving the trade balance, even after the usual J-curve adjustment period.

More concretely:

Standard theory and the J-curve suggest a devaluation initially worsens the trade balance, then improves it as quantities adjust.

The Kulkarni hypothesis proposes that when devaluations are repeated, low demand elasticities, structural rigidities, and other real-world frictions can cause the trade balance to remain in deficit or even deteriorate further over time.

Empirical work applying this framework to countries like the Czech Republic, Estonia, Morocco, and Kenya finds evidence consistent with both the J-curve and Kulkarni hypotheses in many cases.

Evidence for the Kulkarni Hypothesis in developing countries is mixed but clearly present in several cases, especially where there are repeated depreciations and structural rigidities.

Core empirical findings

A cross-country study on transitional and developing economies (Czech Republic, Estonia, Morocco, Kenya) finds “some degree of support” for both the J-curve and Kulkarni hypotheses, with persistent trade deficits following devaluations rather than strong long-run improvements.

For Ghana, a detailed time-series study testing the Marshall–Lerner condition, J-curve, and Kulkarni Hypothesis reports “dynamic and persistent” trade deficits associated with successive depreciations, and explicitly concludes that the Kulkarni Hypothesis applies to Ghana, especially when depreciations occur in “tranquil” (moderate) regimes.

Earlier work by Kulkarni extends J-curve analysis by documenting cases where multiple devaluations in developing countries fail to restore trade balance, leading to the formal statement of the hypothesis as persistent balance-of-trade deficits after repeated devaluations.

Conditions where it holds

Low export and import demand elasticities (limited quantity response to relative price changes).

Structural issues such as narrow export bases, import dependence for capital and intermediate goods, and weak supply response in tradables.

Episodes of repeated or large depreciations without complementary fiscal, monetary, and structural reforms, which can worsen the domestic cost structure and debt burden.

Illustration: Ghana

Ghana has experienced decades of trade deficits alongside a continuously depreciating currency, providing a natural test case.

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